

Milestone ehf.
Consolidated Financial Statements
for the year 2006
ISK

Milestone ehf.
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Endorsement and Signatures of the Board of Directors and the CEO

The consolidated financial statements of Milestone ehf. for the year 2006 have been prepared in accordance with International Financial Reporting Standard (IFRS) as adopted by EU. The financial statements comprise the consolidated financial statements of Milestone ehf. ("the Company") and its subsidiaries.

In the previous years the financial statements have been prepared in accordance to Icelandic law and generally accepted accounting principles (IS-GAAP). The total effect of change in accounting policies on the company's financial statements is that the book value of equity as at 31 December 2006 decreases by ISK 38 million. An explanation of how the transition to IFRSs has affected the company is provided in the notes.

Milestone ehf. is an investment company, focusing on strategic and private equity investments as well as proprietary trading.

At the end of November 2006 Milestone Group concluded a shareholders agreement, in association with other parties, of foundation of the investment bank Askar Capital hf. in the year 2007. Estimated equity of the new bank is ISK 10,9 billion and 85% of the bank's ownership will be part of Milestone's Group.

According to the consolidated income statement, profit for the year amounted to ISK 21,444 million. According to the consolidated balance sheet, equity at the end of the year amounted to ISK 43,727 million, including share capital in the amount of ISK 2,714 million.

Shareholders at the end of the year 2006 were four as in the beginning of the year. All shareholders held more than 10% of outstanding shares each at year end 2006. They are Leiftri Ltd. with 31.6% share, Karl Wernersson with 29.7% share, Steingrímur Wernersson with 23.4% share and Ingunn Wernersdóttir with 15.3% share.

The Board of Directors proposes a dividend payment amounting to ISK 300 million will be paid to shareholders in 2007 for operation in the year 2006. Reference is made to the notes to the consolidated financial statements regarding information on other changes in equity.

In beginning of February 2007 Milestone concluded a loan agreement in the amount of ISK 16.5 billion with the international investment bank Morgan Stanley. This agreement will have positive effect on the borrowings maturity portfolio.

The Board of Directors and the CEO of Milestone ehf. hereby confirm the Company's consolidated financial statements for the year 2006 by means of their signatures.

Reykjavík, 23 February 2007.

The Board of Directors:



CEO:



Independent Auditors' Report

To the Board of Directors and Shareholders of Milestone ehf.

Report on the Consolidated Financial Statements

We have audited the accompanying consolidated financial statements of Milestone ehf. and its subsidiaries, ("the Group"), which comprise the consolidated balance sheet as at December 31, 2006, and the consolidated income statement, consolidated statement of changes in equity and consolidated cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards as adopted by the EU. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatements, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free of material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the consolidated financial statements give a true and fair view of the financial position of the Group as at 31 December 2006, and of its financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards as adopted the EU.

Reykjavík, 23 February 2007.

KPMG hf.



Consolidated Income Statement for the year 2006

	Notes	2006	2005
Investment income:			
Net income from securities, associates and derivatives	7	26.213	17.196
Interest income		2.758	1.120
Interest expenses	(	5.728)	(984)
Net foreign exchange (loss) gain	(	3.869)	1.540
		<u>19.374</u>	<u>18.872</u>
Operating income:			
Sale of goods and services		2.748	0
Insurance premium	8	8.293	4.176
Other revenue	9	1.494	9
		<u>12.535</u>	<u>4.185</u>
Operation expenses:			
Cost of goods sold	(	1.859)	0
Insurance claims	10	(8.035)	(3.536)
Other operating expenses	11-12	(4.099)	(1.702)
		<u>(13.993)</u>	<u>(5.238)</u>
Profit before income tax		17.916	17.819
Tax income (expense)	13-14	3.528	(3.080)
Profit for the year		<u>21.444</u>	<u>14.739</u>
Attributable to:			
Equity holders of the parent		20.295	13.948
Minority interest		1.149	791
Profit for the year		<u>21.444</u>	<u>14.739</u>
Earnings per share:			
Basic earnings per share (ISK)	15	7,48	9,63
Diluted earnings per share (ISK)	15	7,48	9,63

The notes on pages 10 to 40 are an integral part of these consolidated financial statements.

Consolidated Balance Sheet as at 31 December 2006

	Notes	2006	2005
Assets:			
Cash and cash equivalents	16	5.475	2.246
Securities	17	78.831	49.418
Investments in associates	18	4.265	3.833
Derivatives	19	2.378	3.666
Restricted cash	20	2.303	2.126
Assets classified as held for sale	21	244	1.690
Trade and other receivables	22	9.187	2.489
Inventories		667	0
Loans	23-24	11.651	6.209
Reinsurance assets		1.645	1.255
Investment properties	25	30.588	0
Operating assets	26	1.530	426
Intangible assets	27	21.311	11.011
Total assets		170.075	84.369
Equity:	28		
Share capital		2.714	2.714
Share premium		6.014	6.014
Retained earnings		34.855	14.860
Total equity attributable to equity holders of the parent		43.583	23.588
Minority interest		144	2.245
Total equity		43.727	25.833
Liabilities:			
Derivatives	19	1.999	37
Trade and other payables	29	13.589	2.892
Liabilities classified as held for sale	21	0	637
Technical provision	30	22.713	20.732
Technical provision for life-assurance policies where the investment risk is borne by the policyholders		3.125	2.932
Borrowings	31-32	82.701	25.773
Deferred income tax liability	33	2.221	5.533
Total liabilities		126.348	58.536
Total equity and liabilities		170.075	84.369

The notes on pages 10 to 40 are an integral part of these consolidated financial statements.

Consolidated Statement of Changes in Equity for the year 2006

	Share capital	Share premium	Retained earnings	Equity holders of the Parent	Minority interest	Total equity
Year 2005						
Equity 31.12.2004	40	0	2.909	2.949	0	2.949
Change due to IFRSs			13	13		13
Equity as at 1.1.2005 (IFRS)	40	0	2.922	2.962	0	2.962
Profit for the year			13.948	13.948	791	14.739
Dividends			(50)	(50)		(50)
Issue of bonus shares	1.960		(1.960)	0		0
Issued new share capital	857	6.777		7.634		7.634
Purchased own shares	(143)	(763)		(906)		(906)
Minority interest, change				0	1.454	1.454
Equity 31.12.2005	<u>2.714</u>	<u>6.014</u>	<u>14.860</u>	<u>23.588</u>	<u>2.245</u>	<u>25.833</u>
Year 2006						
Equity 31.12.2005	2.714	6.014	14.898	23.626	2.245	25.871
Change due to IFRSs			(38)	(38)		(38)
Equity as at 1.1.2006 (IFRS)	2.714	6.014	14.860	23.588	2.245	25.833
Profit for the year			20.295	20.295	1.149	21.444
Dividends			(300)	(300)		(300)
Acquisition of minority interest				0	(3.319)	(3.319)
Minority interest, change				0	69	69
Equity 31.12.2006	<u>2.714</u>	<u>6.014</u>	<u>34.855</u>	<u>43.583</u>	<u>144</u>	<u>43.727</u>

The notes on pages 10 to 40 are an integral part of these consolidated financial statements.

Consolidated Statement of Cash Flows for the year 2006

	Notes	2006	2005
Cash flows from operating activities:			
Profit for the year		21.444	14.739
Adjustments for:			
Indexation and foreign exchange loss (gain)		4.368 (	1.515)
Depreciation		396	141
Deferred income tax, change	(	3.312)	2.708
Other operating items		149	(721)
Working capital from operations		23.045	15.352
Changes in operating assets and liabilities:			
Inventories, increase	(	12)	0
Receivables, (increase) decrease	(	3.792)	746
Payables, decrease		6.975	530
Net cash provided by operating activities		26.216	16.628
Cash flows from investing activities:			
Securities, change	(	32.855)	(21.091)
Acquisition of subsidiary, net of cash acquired	6	132	(17.724)
Acquisition of minority interest	6	(9.500)	0
Acquisition of associates companies	(	1.223)	0
Derivatives, change		3.250	(3.651)
Restricted cash, change	(	177)	(2.126)
Loans, change	(	7.040)	6.130
Acquisition of investment properties	(	23.487)	0
Acquisition of operating assets	(	231)	(179)
Proceeds from the sale of operating assets		22	0
Acquisition of intangible assets	(	2)	0
Net cash used in investing activities		(71.111)	(38.641)
Cash flows from financing activities:			
Proceeds from the issue of share capital		0	7.634
Purchased own shares		0	(906)
Minority interest in issue of share capital in subsidiaries		47	0
Dividend paid to shareholders of parent company	(	300)	(50)
Dividend paid to minority of subsidiary		0	(2.000)
Proceeds from borrowings		54.627	25.868
Repayment of borrowings	(	6.298)	(6.785)
Net cash provided by financing activities		48.076	23.761
Net increase in cash and cash equivalents		3.181	1.748
Cash and cash equivalents at 1 January		2.246	498
Effect of exchange rate fluctuations on cash held		48	0
Cash and cash equivalents at 31 December		5.475	2.246

Consolidated Statement of Cash Flows for the year 2006, contd.:

	Notes	2006	2005
Investing and financing transactions without cash flow effect:			
Sales price of shares		3.104	0
Acquisition of subsidiary	6 (	1.676)	0
Acquisition of investment properties	(	7.101)	0
Borrowings		5.673	0
Other information:			
Interest income received		261	83
Interest expenses paid		4.319	833
Income taxes paid		120	0
Dividends received		1.433	338

The notes on pages 10 to 40 are an integral part of these consolidated financial statements.

Notes to the Consolidated Financial Statements

1. Reporting Entity

Milestone ehf.'s registered office is at Suðurlandsbraut 12 in Reykjavík, Iceland. The consolidated financial statements of Milestone ehf. ("the Company") as at and for the year ended 31 December 2006 comprise the Company and its subsidiaries, together referred to as the "Group". Milestone ehf. is an investment company and the Company has listed bonds on the Iceland Stock Exchange.

2. Basis of preparation

Assets and liabilities in the Balance Sheet are presented in liquidity order which is considered more appropriate for the Group than the current/non-current presentation. For each asset and liability item that combines amounts expected to be recovered or settled after more than 12 months, a payment schedule is disclosed.

a. Statement of compliance

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) as adopted by the EU. These are the Group's first consolidated financial statements prepared according to IFRS and IFRS 1, First-time Adoption of IFRS, has been applied.

An explanation of how the transition to IFRSs has affected the reported financial position, financial performance and cash flows of the Group is provided in note 39. In the note, the changes in equity's comparative figures and the Group's results as they were disclosed according to Icelandic GAAP for the year 2005 and as they are according to IFRS, are explained.

The financial statements were approved by the Board of Directors of Milestone ehf. on 23 February 2007.

b. Basis of measurement

The consolidated financial statements are prepared on the historical cost basis except for the following:

- * derivative financial instruments are measured at fair value;
- * financial instruments at fair value through profit or loss are measured at fair value;

c. Functional and presentation currency

The consolidated financial statements are prepared in Icelandic Krona (ISK), which is the Company's functional currency. All financial information has been rounded to the nearest million.

d. Use of estimates and judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

In particular, information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amount recognised in the financial statements is described in note 4p.

3. Accounting policies related to financial instruments

a. *Financial instruments*

(i) *Non-derivative financial instruments*

Non-derivative financial instruments in the Group's balance sheet comprise securities, loans, trade and other receivables, cash and cash equivalents, restricted cash, borrowings, trade and other payables and ordinary shares.

Non-derivative financial instruments are recognised initially at fair value plus, for instruments not at fair value through profit or loss, any directly attributable transaction costs. Subsequent to initial recognition non-derivative financial instruments are measured as described below.

A financial instrument is recognised if the Group becomes a party to the contractual provisions of the instrument. Financial assets are derecognised if the Group's contractual rights to the cash flows from the financial assets expire or if the Group transfers the financial asset to another party without retaining control or substantially all risks and rewards of the asset. Regular way purchases and sales of financial assets are accounted for at trade date, i.e. the date that the Group commits itself to purchase or sell the asset. Financial liabilities are derecognised if the Group's obligations specified in the contract expire or are discharged or cancelled.

Cash and cash equivalents comprise cash balances, demand deposits that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

Restricted cash comprise of cash collaterals held by counterparties as guarantee for debts.

Accounting for finance income and expense is discussed in note 3c.

Investments at fair value through profit and loss

Securities in the balance sheet are financial assets classified as at fair value through profit or loss and designated as such upon initial recognition. Financial assets are designated at fair value through profit or loss if the Group manages such investments and makes purchase and sale decisions based on their fair value. Upon initial recognition, attributable transaction costs are recognised in profit or loss when incurred. Financial instruments at fair value through profit or loss are measured at fair value, and changes therein are recognised in profit or loss.

Other

Other non-derivative financial instruments are measured at amortised cost using the effective interest method, less any impairment losses.

(ii) *Derivative financial instruments*

The Group holds derivative financial instruments for investment purposes but also to hedge its interest rate risk exposures. Embedded derivatives are separated from the host contract and accounted for separately if the economic characteristics and risks of the host contract and the embedded derivative are not closely related, a separate instrument with the same terms as the embedded derivative would meet the definition of a derivative, and the combined instrument is not measured at fair value through profit or loss.

Derivatives are recognised initially at fair value; attributable transaction costs are recognised in profit or loss when incurred. Subsequent to initial recognition, derivatives are measured at fair value, and changes therein are accounted for through profit or loss. Derivatives with positive fair value at the reporting date are recognised as assets in the balance sheet while derivatives with negative fair value are recognised as liabilities.

Notes, contd.:

a. contd.:

(iii) *Share capital*

Ordinary shares

Incremental costs directly attributable to issue of shares and share options are recognised as a deduction from equity.

Repurchase of share capital

When share capital recognised as equity is repurchased, the amount of the consideration paid, including directly attributable costs, is recognised as a deduction from equity. Repurchased shares are classified as treasury shares and are presented as a deduction from total equity.

Dividends

Dividends are recognised as a decrease in equity in the period in which they are declared.

b. ***Fair value measurement principles for financial instruments***

(i) *Securities*

Securities in the balance sheet consist of investments in equity and debt securities. The fair value of securities is based on their quoted market bid prices at the reporting date without any deduction for estimated future selling costs.

If a quoted market price is not available on a stock exchange or from a broker / dealer for non-exchange-traded financial instruments, the fair value of the investment is estimated using valuation techniques, including use of recent arm's length market transactions, reference to the current fair value of another instrument that is substantially the same, discounted cash flow techniques, option pricing models or any other valuation technique that provides a reliable estimate of prices obtained in actual market transactions.

Where discounted cash flow techniques are used, estimated future cash flows are based on management's best estimates and the discount rate used is a market rate at the reporting date applicable for an instrument with similar terms and conditions. Where other pricing models are used, inputs are based on market data at the reporting date. Fair values for unquoted equity investments are estimated, if possible, using applicable price / earnings ratios for similar listed companies adjusted to reflect the specific circumstances of the issuer.

(ii) *Derivatives*

The fair value of forward exchange contracts are based on their listed market price, if available. If a listed market price is not available, then fair value is estimated by discounting the difference between the contractual forward price and the current forward price for the residual maturity of the contract using a risk-free interest rate based on government bonds.

The fair value of interest rate swaps is based on broker quotes. Those quotes are tested for reasonableness by discounting estimated future cash flows based on the terms and maturity of each contract and using market interest rates for a similar instrument at the measurement date.

(iii) *Loans, trade and other receivables*

The fair value of loans (financial leases included), trade and other receivables, which is determined for disclosure purposes, is estimated as the present value of future cash flows, discounted at the market rate of interest at the reporting date.

Notes, contd.:

b. contd.:

(iv) *Non-derivative financial liabilities*

The fair value of non-derivative financial liabilities which is determined for disclosure purpose is based on the present value of future principal and interest cash flows, discounted at the market rate of interest at the reporting date.

c. **Investment income**

(i) *Net income from securities, associates and derivatives*

Net income from investments in securities, associates and derivatives comprise gain on the sale of shares, changes in the fair value of the investments and derivatives, other than foreign exchange hedges, share of profit (loss) of associates and dividend income from companies other than associates. Dividend income is recognised in the income statement on the date the entity's right to receive payments is established.

(ii) *Interest income and expense*

Interest income and expense is recognised in the income statement, using the effective interest method.

(iii) *Net foreign exchange (loss) gain*

Net foreign exchange (loss) gain comprises foreign exchange changes arising from assets and liabilities denominated in foreign currencies and gains and losses arising from derivatives hedging the foreign currency risk.

4. Other accounting policies

a. **Basis of consolidation**

(i) *Subsidiaries*

Subsidiaries are entities controlled by the company. Control exists when the company has the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities. In assessing control, potential voting rights that presently are exercisable or convertible are taken into account. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases.

(ii) *Associates*

Associates are those entities in which the Group has significant influence, but not control, over the financial and operating policies. The consolidated financial statements include the Group's share of the total recognised gains and losses of associates on an equity accounted basis, from the date that significant influence commences until the date that significant influence ceases. When the Group's share of losses exceeds its interest in an associate, the Group's carrying amount is reduced to nil and recognition of further losses is discontinued except to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of an associate.

(iii) *Transactions eliminated on consolidation*

Intra-group balances and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

b. Foreign currency

(i) Foreign currency transactions

Transactions in foreign currencies are translated to the respective functional currency of Group entities at exchange rates ruling at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the functional currency at the exchange rate ruling at that date. Foreign exchange differences arising on translation are recognised in the income statement. Acquisition of operating assets in foreign currencies is translated at the foreign exchange rate ruling at the date of the transaction. Operating expenses and sales in foreign currencies are translated at the foreign exchange rate ruling at the date of the transaction.

(ii) Foreign operations

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated to the functional currency at exchange rates at the reporting date. The income and expenses of foreign operations are translated to the functional currency at the average exchange rate.

Foreign currency differences are recognised directly in equity in the foreign currency translation reserve. When a foreign operation is disposed of, in part or in full, the relevant amount in the foreign currency translation differences is transferred to profit or loss.

(iii) Hedge of net investments in foreign operation

Foreign currency differences arising on the retranslation of a financial liability designated as a hedge of a net investment in foreign operation are recognised directly in equity, in the foreign currency translation reserve, to the extent that the hedge is effective. To the extent that the hedge is ineffective, such differences are recognised in profit or loss. When the hedged net investment is disposed of, the cumulative amount in equity is transferred to profit or loss as an adjustment to the profit or loss on disposal.

c. Intangible assets

(i) Goodwill

Goodwill (negative goodwill) arises on the acquisition of subsidiaries.

Acquisitions prior to 1 January 2005

As part of its transition to IFRSs, the Group elected to restate only those business combinations that occurred on or after 1 January 2005. In respect of acquisitions prior to 1 January 2005, goodwill represents the amount recognised under the Group's previous accounting framework, IS-GAAP.

Acquisitions on or after 1 January 2005

For acquisitions on or after 1 January 2005, goodwill represents the excess of the cost of the acquisition over the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities of the acquiree. When the excess is negative (negative goodwill), it is recognised immediately in profit or loss.

Acquisitions of minority interest

Goodwill arising on the acquisition of a minority interest in a subsidiary represents the excess of the cost of the additional investment over the carrying amount of the net assets acquired at the date of exchange.

Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment.

Notes, contd.:

c. contd.:

(ii) *Other intangible assets*

Trademarks are measured at cost less impairment losses. Other intangible assets that are acquired by the Group, which have finite useful lives, are measured at cost less accumulated amortisation and accumulated impairment losses.

(iii) *Subsequent expenditure*

Subsequent expenditure is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure, including expenditure on internally generated goodwill and brands, is recognised in profit or loss when incurred.

(iv) *Amortisation*

Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful lives of intangible assets, other than goodwill and trademarks, from the date that they are available for use. The estimated useful lives for the current and comparative periods are as follows:

Customer relationship	12 years
Patents	5-10 years

d. ***Investment property***

Investment property is property held either to earn rental income or for capital appreciation or for both. Investment property is measured at fair value with any change therein recognised in profit or loss.

When the use of a property changes such that it is reclassified as operating asset, its fair value at the date of reclassification becomes its cost for subsequent accounting.

e. ***Operating assets***

(i) *Buildings and other operating assets*

Buildings and other operating assets are stated at cost less accumulated depreciation and impairment losses.

(ii) *Subsequent costs*

The cost of replacing part of an item of operating asset is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied with the item will flow to the Group and the cost of the item can be measured reliably. All other costs are recognised in the income statement as an expense as incurred.

(iii) *Depreciation*

Depreciation is charged to the income statement on a straight-line basis over the estimated useful lives of each item of operating assets. The estimated useful lives are as follows:

Buildings	25-50 years
Other operating assets	3-5 years

The depreciation method, useful lives and residual values are reassessed at the reporting date.

f. Inventories

Inventories are measured at the lower of cost and net realisable value. The cost of inventories is based on the first-in first-out principle, and includes expenditure incurred in acquiring the inventories and bringing them to their existing location and condition. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

g. Impairment

(i) Financial assets

Financial assets that are stated at cost or amortised cost are reviewed at each reporting date to determine whether there is objective evidence of impairment. If any such indication exists, an impairment loss is recognised in the income statement as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the financial asset's original effective interest rate.

If in a subsequent period the amount of an impairment loss recognised on a financial asset carried at amortised cost decreases and the decrease can be linked objectively to an event occurring after the write-down, the write-down is reversed through the income statement.

(ii) Non-financial assets

The carrying amounts of the Group's non-financial assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists then the asset's recoverable amount is estimated.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in profit or loss. Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amount of the other assets in the unit (group of units) on a pro rata basis.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Notes, contd.:

g. contd.:

An impairment loss in respect of goodwill is not reversed. In respect of other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

(iii) *Assets classified as held for sale*

Non-current assets or disposal groups, comprising assets and liabilities, that are expected to be recovered primarily through sale rather than through continuing use are classified as held for sale. Immediately before classification as held for sale, the assets (or components of a disposal group) are remeasured in accordance with the Group's accounting policies. Thereafter, generally the disposal group is measured at the lower of their carrying amount and fair value less cost to sell. Any impairment loss on a disposal group first is allocated to goodwill, and then to remaining assets and liabilities on pro rata basis, except that no loss is allocated to inventories and financial assets which continue to be measured in accordance with the Group's accounting policies. Impairment losses on initial classification as held for sale and subsequent gains or losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss.

Assets and liabilities classified as held for sale are presented in special line items in the balance sheet.

h. **Provisions**

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

i. **Insurance contracts**

The subsidiaries, Sjóvá-Almennar tryggingar hf. og Sjóvá-Almennar líftryggingar hf., issue contracts that transfer both financial and insurance risk from the customers to the subsidiaries.

(i) *Insurance contracts - definition*

Insurance contracts are contracts under which the insurer accepts significant insurance risk from policyholders by agreeing to compensate the policyholders if a specified uncertain future event would occur.

Insurance risk is all risk, other than financial risk, that is moved from the policyholder to the insurer such as accident, death or damage. Financial risk is however the risk of changes in the market environment.

(ii) *Insurance contracts - classification*

The Company's insurance contracts are categorized in two groups according to how long the insurance risk lasts and whether the contract are fixed or changeable.

Property and casualty insurance:

Insurance contracts that are categorized as in this section are liability insurance, casualty insurance and property insurance.

Notes, contd.:

i. contd.:

Liability and casualty insurance contracts protect the customers against the risk of causing harm to third parties as a result of their legitimate activities and compensates the policyholders own damage in accordance with the terms of the insurance contracts.

Property insurance contracts mainly compensate the Company's customers for damage suffered to their properties or for the value of property lost. Customers in business could also receive compensation for the loss of earnings caused by the inability to use the insured properties in their business.

Life insurance:

These contracts insure events associated with human life, for example death or survival over a long duration. Premiums are entered as income in the period they are issued and claims paid are entered as expense in the period that the insured event incurs.

(iii) *Investments with investments risk of the life assurance policyholders*

Investments with the investment risk of life assurance policyholders are financial assets owned by the Company that the policyholders have selected and carry the investment risk in accordance with the life assurance policy. Technical provision for life assurance policies where the investment risk is borne by the policyholders is the Company's liability towards these policyholders in the same amount.

(iv) *Technical provisions*

The Company assesses, at the end of the fiscal year, whether the recorded insurance liability can carry out the Group's estimated obligations by assessing future cash flows of the insurance liability. All changes in the insurance liability are recognized in the income statement. In performing these tests, current best estimates of future contractual cash flows and claims handling and administration expenses, as well as investment income from the assets backing such liabilities, are used.

(v) *Reinsurance contracts*

Reinsurance contracts are made in order to reduce the Group's risks. Reinsurance contracts can be either proportional or carry the entire risk in the case of a damage exceeding a fixed damage cost.

Claims on reinsurers due to premiums and claims are recognized as reinsurance assets. The claims concern the reinsurers share in damages according to reinsured insurance contracts and share in premium liability. Obligations due to reinsurance are the reinsurers share in premiums for reinsurance contracts which are recognized in the income statement at the time of the renewal of the reinsurance contracts.

j. **Revenue**

(i) *Goods sold*

Revenue from the sale of goods is measured at the fair value of the consideration received or receivable, net of returns and allowances, trade discounts and volume rebates. Revenue is recognised when the significant risks and rewards of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated costs and possible return of goods can be estimated reliably, and there is no continuing management involvement with the goods.

Notes, contd.:

j. contd.:

(ii) **Rental income**

Rental income from investment property is recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives granted are recognised as an integral part of the total rental income, over the term of the lease.

(iii) **Insurance operations**

Premiums entered as income comprise the premiums contracted during the period including premiums transferred from last years but excluding next periods premiums, which are entered as premium reserve. Premium reserve in the balance sheet forms the part of premiums due to insurance risk during the period which belongs to the next fiscal year.

Claims stated in the income statements are the periods claims including increases due to claims previous fiscal year. Claims reserved in the balance sheet are the total amount of reported but unpaid claims as well as actuarial provision for claims accrued but unreported.

k. **Lease payments**

Payments made under operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

Minimum lease payments made under finance leases are apportioned between the finance expense and the reduction of the outstanding liability. The finance expense is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability. Contingent lease payments are accounted for by revising the minimum lease payments over the remaining term of the lease when the lease adjustment is confirmed.

l. **Income tax expense**

Income tax on the profit or loss for the year comprises current tax and deferred tax.

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is provided using the balance sheet method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The following temporary differences are not provided for: goodwill not deductible for tax purposes, the initial recognition of assets or liabilities that affect neither accounting nor taxable profit, and differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the reporting date.

m. **Earnings per share**

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is equal to basic EPS.

n. **Segment reporting**

A segment is a distinguishable component of the Group that is engaged either in providing related products or services (business segment), or in providing products or services within economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments. The Group's primary format for segment reporting is business segment.

o. **New standards and interpretations not yet adopted**

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2006, and have not been applied in preparing these consolidated financial statements:

IFRS 7 Financial Instruments: Disclosures and the Amendment to IAS 1 Presentation of Financial Statements : Capital Disclosures require extensive disclosures about the significance of financial instruments for an entity's financial position and performance, and qualitative and quantitative disclosures on the nature and extent of risks. IFRS 7 and amended IAS 1, which become mandatory for the Group's 2007 financial statements, will require extensive additional disclosures with respect to the Group's financial instruments and share capital.

IFRS 8 Operating Segments sets out requirements for disclosure of information about an entity's operating segments and also about the entity's products and services, the geographical areas in which it operates, and its major customers. If adopted by the EU, IFRS 8, which becomes mandatory for the Group's 2009 financial statements, is not expected to have any impact on the consolidated financial statements.

IFRIC 7 Applying the Restatement Approach under IAS 29 Financial Reporting in Hyperinflationary Economies addresses the application of IAS 29 when an economy first becomes hyperinflationary and in particular the accounting for deferred tax. IFRIC 7, which becomes mandatory for the Group's 2007 financial statements, is not expected to have any impact on the consolidated financial statements.

IFRIC 8 Scope of IFRS 2 Share-based Payment addresses the accounting for share-based payment transactions in which some or all of goods or services received cannot be specifically identified. IFRIC 8 will become mandatory for the Group's 2007 financial statements, is not expected to have any impact on the consolidated financial statements.

IFRIC 9 Reassessment of Embedded Derivatives requires that a reassessment of whether embedded derivative should be separated from the underlying host contract should be made only when there are changes to the contract. IFRIC 9, which becomes mandatory for the Group's 2007 financial statements, is not expected to have any impact on the consolidated financial statements.

IFRIC 10 Interim Financial Reporting and Impairment prohibits the reversal of an impairment loss recognised in a previous interim period in respect of goodwill, an investment in an equity instrument or a financial asset carried at cost. If adopted by the EU, IFRIC 10, will become mandatory for the Group's 2007 financial statements.

IFRIC 11 IFRS 2 Group and Treasury Share Transactions deals with how certain types of agreements on securities related payments shall be recognized in the financial statements of a company and its subsidiaries. If adopted by the EU, IFRIC 11 applies for accounting periods starting as of March 1, 2007.

IFRIC 12 Service Concession Arrangements . If adopted by the EU, IFRIC 12 will become mandatory for the Group's 2007 financial statements. IFRIC 12 is not expected to have any impact on the consolidated financial statements of the Group.

p. Accounting estimates and judgements

Key sources of estimation uncertainty

Determination of fair values of financial instruments

As indicated in note 3b the Group's securities and derivatives are measured at fair value on the balance sheet. For the majority of these financial instruments, quoted market prices are readily available. However, certain financial instruments, for example, over-the-counter derivatives or unquoted securities are fair valued using valuation techniques, including reference to the current fair values of other instruments that are substantially the same, subject to the appropriate adjustments.

Fair value estimates are made at a specific point in time, based on market conditions and information about the financial instrument. These estimates are subjective in nature and involve uncertainties and matters of significant judgement (e.g. interest rates, volatility, estimated cash flows etc.) and therefore, cannot be determined with precision.

Determination of impairment of financial assets

Assets accounted for at amortised cost are evaluated for impairment on the basis described in accounting policy 4g(i). The assessment for impairment is based upon management's best estimate of the present value of the cash flows that are expected to be received. In estimating these cash flows, management makes judgements about a counterparty's financial situation and the net realisable value of any underlying collateral.

Non-financial assets, such as goodwill and intangible assets, are regularly valued for impairment. The assessment for impairment is based upon management's estimates of future cash flows and discount rate.

Critical accounting judgements in applying the Group's accounting policies

Classification of securities

The Group's accounting policies provide scope for securities to be designated at fair value through profit or loss. By making this designation, the management has determined that it has met the necessary criteria as set out in accounting policy 3a(i).

Classification of assets as held for sale

Certain assets and related liabilities are classified as held for sale as described in note 4g(iii). By making this classification, the management has determined that their carrying amount will be recovered principally through a sale transaction rather than through continuing use. Furthermore, the management expects the sale to be completed within one year from the date of classification and that it is unlikely that significant changes will be made to the planned sale. However, future events or circumstances may extend the period to complete the sale beyond one year or they may lead to the assets no longer meeting the requirements for classification as held for sale.

Deferred tax assets

Deferred tax assets are recognised for most deductible temporary differences and for tax losses carried forward to the extent that it is probable that taxable profit will be available against which they can be utilized. Significant management judgement is required to determine the amount of deferred tax assets that can be recognized, based on the likely timing and level of future taxable profits together with future tax planning strategies.

Notes, contd.:

Segment reporting

5. Segment information is presented in respect of Group's business and geographical segments. The primary format, business segments, is based on the Group's management and internal reporting structure and is divided into three segments. Retail activities comprise the operation of the subsidiary L&H eignarhaldsfélag ehf. and the insurance activities comprise the operations of the subsidiary Sjóvá-Almennar tryggingar hf. Investment activities comprise the operations of the parent and other investment companies.

In presenting information on the basis of geographical segment, segments revenue and assets is based on the geographical location and of assets.

Inter-segment pricing is determined on an arms's length basis.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

Business segments

	Retail*		Insurance*		Investments		Eliminations		Consolidated	
	2006	2005	2006	2005	2006	2005	2006	2005	2006	2005
Investment income	774	0	11.886	3.677	18.259	16.778	(11.545)	(1.583)	19.374	18.872
Operating income	2.933	0	9.826	4.185	59	0	(283)	0	12.535	4.185
Operating expenses	(2.781)	0	(10.722)	(5.053)	(508)	(185)	18	0	(13.993)	(5.238)
Segment result before										
income tax	926	0	10.990	2.809	17.810	16.593	(11.810)	(1.583)	17.916	17.819
Income tax	(145)	0	956	(435)	2.717	(2.645)	0	0	3.528	(3.080)
Profit for the year	781	0	11.946	2.374	20.527	13.948	(11.810)	(1.583)	21.444	14.739
Segment assets	7.739	0	74.294	35.918	151.452	52.955	(63.410)	(4.504)	170.075	84.369
Segment liabilities	6.798	0	65.007	29.181	58.510	29.367	(3.967)	(12)	126.348	58.536
Capital expenditure	46	0	187	179	7.733	104	0	0	7.966	283
Depreciation, amortisation and impairment losses	68	0	49	37	279	104	0	0	396	141

* Interest of Sjóvá-Almennar tryggingar hf. was 66,7% from July 2005 until June 2006 but 100% after that. L&H eignarhaldsfélag ehf. is part of the consolidated financial statements from end of June 2006.

Geographical segments

	Iceland		Continent Europe		Asia	USA	Eliminations		Consolidated	
	2006	2005	2006	2005	2006	2006	2006	2005	2006	2005
Investment and operating income	31.082	23.057	827		0	0	0	0	31.909	23.057
Total assets	139.797	84.369	22.505		7.507	266	0	0	170.075	84.369
Capital expenditure	7.966	283	0		0	0	0	0	7.966	283

Acquisitions of subsidiary and minority interests

6. In June 2005 the Financial Supervision Authority approved the company's purchase of 66.7% of shares in Sjóvá-Almennar tryggingar hf. Milestone's interest in profit of Sjóvá-Almennar tryggingar hf. are entered from the beginning of July 2005. In May 2006 the company purchased 33.3% of shares in Sjóvá-Almennum tryggingar hf. and thereby Milestone had acquired all the shares in the company. The purchase price for the 33.3% share amounted to ISK 9,500 million. The carrying amounts of Sjóvá's net assets in the consolidated financial statements at the end of June was ISK 41,576 million. The Group recognised a decrease in minority interest of ISK 3,319 million and goodwill of ISK 3,682 million, trademark of ISK 976 million and customer relationship of ISK 1,433 million. If Milestone had acquired all the shares in the company at the beginning of 2006 the interest in profit would have been 1,130 million higher.

In the end of June 2006 the company bought all the shares in L&H eignarhaldsfélag ehf. L&H eignarhaldsfélag ehf. owns, among other things, 99% of the shares in Lyf og heilsa hf. The company is part of Milestone's consolidated financial statements from the end of June 2006.

The acquisitions of L&H eignarhaldsfélag have the following effects on the Groups balance sheet:

	Carrying amounts on acquisition
Cash and cash equivalents	131
Investments in associates	24
Trade and other receivables	1.390
Inventories	654
Operating assets	935
Intangible assets	2.669
Trade and other payables	(1.729)
Borrowings	(4.041)
Net identified assets and liabilities	33
Trademark on acquisition	369
Goodwill on acquisition	1.274
Consideration satisfied by securities	1.676
Cash acquired	131
Net cash outflow	131

No fair value adjustments were recognised on carrying amounts on acquisition date.

Investment income

7. Net income from securities, associates and derivatives is specified as follows:

	2006	2005
Gain (loss) on the sale of shares	9.315 (	17)
Dividend	1.433	338
Share of profit of associates	215	608
Change in fair value of securities and derivatives	15.250	16.267
Net income from securities, associates and derivatives	26.213	17.196

Notes, contd.:

Operating income

8. Insurance premium is specified as follows:	2006	2005
Premiums written	9.628	4.909
Reinsure's share	(1.082)	(909)
Change in the gross provision for unearned premiums	(176)	8
Change in the provision for unearned premiums, reinsure's share	(77)	168
Total insurance premium	8.293	4.176

9. Other revenue is specified as follows:

Rental	958	0
Other revenue	536	9
Total other revenue	1.494	9

Operating expenses

10. Insurance claims are specified as follows:

Claims paid	6.770	3.411
Claims paid, reinsure's share	(204)	(528)
Change in the provision for claims	1.932	474
Change in the provision for claims, reinsures' share	(463)	179
Total insurance claims	8.035	3.536

11. Other operating expenses specify as follows:

Salaries and salary-related expenses, note 12	1.930	635
Depreciation, amortisation and impairment losses	396	141
Other operating expenses	1.773	926
Total other operating expenses	4.099	1.702

12. Salaries and related expenses are specified as follows:

Salaries	1.617	543
Salary-related expenses	313	92
Salaries and salary-related expenses total	1.930	635

Number of employees at the end of the year	532	199
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Salaries to CEO of the parent company amounted to ISK 31 million. Salaries paid to board of directors amounted to ISK 15 million.

Notes, contd.:

Income tax expense

13. Income tax recognised in the income statement is specified as follows:

	2006	2005
Current tax payable	(66)	(372)
Adjustments for prior periods	278	0
Deferred income tax	3.316	(2.708)
Total income tax (expense) in income statement	3.528	(3.080)

14. Reconciliation of effective tax rate:

	2006	2005
Profit before income tax	17.916	17.819
Income tax using the Company's domestic tax rate	18,0% (3.225)	18,0% (3.214)
Tax exempt revenue	0,6% 113	0,0% 0
Deferral of gains from sale of equity investments against tax base of investments in subsidiaries	36,9% 6.611	0,0% 0
Non-deductible expenses	0,0% (1)	0,0% 0
Other items	(0,9%) 30	(0,9%) 134
Effective tax rate	19,7% 3.528	(17,3%) (3.080)

Earnings per share

15. The calculation of basic earnings per share was based on the profit and a weighted average number of shares outstanding during the year. Diluted earnings per share is the same as basic earnings per share as the company has not entered into share options agreements or convertible loan agreements.

	2006	2005
Profit for the year	20.295	13.948
Weighted average number outstanding shares during the year	2.714	1.449
Basic and diluted earnings per share	7,48	9,63

Cash and cash equivalents

16. Cash and cash equivalents are specified as follows:

	8	11
Cash	5.467	2.235
Bank deposits	5.475	2.246
Total cash and cash equivalents		

Notes, contd.:

Securities

17. Securities are specified as follows:

	Share 2006	Fair value including related derivatives 2006	Fair value including related derivatives 2005
Listed securities:			
<i>Listed securities on the Icelandic Stock Exchange:</i>			
Glitnir Bank hf.	20,7%	68.683	39.728
Actavis Group hf.	5,5%	11.767	10.796
365 hf.	15,7%	2.465	254
Teymi hf.	15,7%	2.311	0
Landsbanki Íslands hf.		1.204	0
Other companies		2.956	4.715
Total listed shares on the Iceland Stock Exchange		89.386	55.493
Affiliated shares		586	952
Bonds		694	3.946
Listed on the Icelandic Stock Exchange		90.666	60.391
<i>Listed securities on foreign stock exchanges:</i>			
Storebrand		0	3.514
Affiliated shares		220	1.119
Affiliated shares for benefit of life-assurance policyholders			
who bear the investment risk		3.125	2.932
Other companies		132	267
Total listed on foreign stock exchanges		3.477	7.832
Total listed securities		94.143	68.223
Unlisted securities:			
Unlisted shares		1.099	2.139
Unlisted bonds		0	185
Unlisted bonds - held to maturity investments		250	629
Total unlisted securities		1.349	2.953
Total securities		95.492	71.176
Thereof derivatives		(16.661)	(21.758)
Fair value of securities at year end		78.831	49.418

Notes, contd.:

Associates

18. The carrying amounts of the Group's investments in associates and share of profit (loss) are specified as follows:

	Share	Share of	Carrying	Share of	Carrying
	2006	profit (loss)	amounts	profit (loss)	amounts
	2006	2006	2006	2005	2005
Top investment Group B.V.	49,5%	0	685	0	0
Fjárfestingarfélagið Máttur ehf.	47,5%	(31)	1.833	0	0
Fragrance Investments ehf.	47,0%	0	240	0	240
Aquicila Venture Partners ehf.	45,0%	0	543	0	0
Spor ehf.	35,0%	13	229	0	0
Sporbaugur ehf.	35,0%	(7)	137	0	0
Cartoon Holdings Ltd.	30,0%	0	410	0	0
Íslensk endurtrygging hf.	29,9%	17	173	6	156
Inglewood Ltd.		0	0	0	2.354
Klasi hf.		214	0	566	907
Other companies		9	15	36	175
Associates companies total		215	4.265	608	3.833

Derivatives

19. Net assets in derivatives are specified as follows:

	2006	2005
Equity derivatives - receivable, see note 17	16.661	21.758
Equity derivatives - payable	(15.035)	(18.107)
Net position of equity derivatives	1.626	3.651
Net position of other derivatives	(1.247)	(22)
Net position of derivatives	379	3.629
Derivatives - assets in the balance sheet	2.378	3.666
Derivatives - liabilities in the balance sheet	(1.999)	(37)
Net position of derivatives	379	3.629

Restricted cash

20. Bank deposits amounting to ISK 2,303 million are restricted to use for the Group at year end. These deposits are cash held by financial institutions as pledged for debts.

Notes, contd.:

Assets and Liabilities classified as held for sale

21. Shares in Wizard Holding A/S and Iðngarðar ehf. are presented as held for sale following the commitment of the Group's management to plan to sell them. The Group sold shares in the subsidiary Securitas hf. in January 2006 and the company is therefor presented as disposal group in the comparative amounts in the balance sheet. Assets and liabilities classified as held for sale are specified as follows:

	2006 Assets	2005 Assets	Liabilities
Wizard Holding A/S	225	0	0
Iðngarðar ehf.	19	0	0
Total assets of Securitas hf.	0	1.690	0
Total liabilities of Securitas hf.	0	0	637
Assets classified as held for sale total	244	1.690	637

Trade and other receivables

22. Trade and other receivables are specified as follows:

	2006	2005
Insurance receivables	2.062	2.007
Trade receivables	340	0
Prepaid expenses	378	0
Sale of shares receivables	4.135	0
Other receivables	2.272	482
Total trade and other receivables	9.187	2.489

Loans

23. Loans are specified as follows:

Bonds with mortgage	4.514	2.346
Other loans	7.137	3.863
	11.651	6.209

24. Repayments of loans are specified as follows:

Repayments in 2007	8.339	5.244
Repayments in 2008	1.861	965
Repayments in 2009	1.198	0
Repayments in 2010	253	0
Total loans	11.651	6.209

Notes, contd.:

Investment properties

25. Investment properties are specified as follows:

Investment properties

Balance at 1.1.2006	0
Acquisitions	22.815
Balance at 31.12.2006	22.815

Investment properties under development

Balance at 1.1.2006	0
Acquisitions	7.773
Balance at 31.12.2006	7.773

Investment properties total	30.588
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The investment properties were all acquired during the year and changes in fair value from acquisition date are immaterial.

Operating assets

26. Operating assets are specified as follows:

	Buildings	Other operating assets	Total
Gross carrying amount			
Balance at 1.1.2005	0	0	0
Acquisitions through business combinations	1.579	148	1.727
Additions during the year	45	241	286
Sales and disposals during the year	(1.433)	(39)	(1.472)
Balance at 31.12.2005	191	350	541
Acquisitions through business combinations	777	763	1.540
Additions during the year	27	204	231
Sales and disposals during the year	(35)	(54)	(89)
Balance 31.12.2006	960	1.263	2.223

Depreciation and impairment losses

Balance at 1.1.2005	0	0	0
Acquisitions through business combinations	432	69	501
Depreciation	9	28	37
Sales and disposals during the year	(417)	(6)	(423)
Balance 31.12.2005	24	91	115
Acquisitions through business combinations	60	418	478
Depreciation	8	120	128
Sales and disposals during the year	(2)	(26)	(28)
Balance 31.12.2006	90	603	693

Carrying amounts

1.1.2005	0	0	0
31.12.2005	167	259	426
31.12.2006	870	660	1.530

Notes, contd.:

Intangible assets

27. The Group's intangible assets are specified as follows:

Gross carrying amount	Goodwill	Trademark	Customer relationships	Other intangible assets	Total
Balance at 1 January 2005	0	0	0	0	0
Additions during the year	6.905	1.706	2.504	0	11.115
Balance at 31 December 2005	6.905	1.706	2.504	0	11.115
Acquisitions through business combination	3.766	696	0	19	4.481
Acquisitions of minority interest	3.682	976	1.433	2	6.093
Balance at 31 December 2006	14.353	3.378	3.937	21	21.689

Amortisation and impairment losses

Balance at 1 January 2005	0	0	0	0	0
Amortisation	0	0	104	0	104
Balance 31.12.2005	0	0	104	0	104
Acquisitions through business combination	0	0	0	6	208
Amortisation	0	0	267	1	268
Balance at 31 December 2006	0	0	371	7	580

Carrying amounts

1.1.2005	0	0	0	0	0
31.12.2005	6.905	1.706	2.400	0	11.011
31.12.2006	14.353	3.378	3.566	14	21.311

Amortisation and impairment charge

The amortisation and impairment losses are allocated to operating expenses in income statement.

Impairment test

At the end of the year impairment tests were performed on the Group's goodwill and trademarks. The present value of estimated future cash flows is used to decide if impairment losses have occurred. In the present value calculations, an interest rate is used that reflects the weighted average of cost of capital, or the cost of debt and equity allowed for income tax effects. If the fair value of goodwill, which is the present value of future cash flows, is lower than the carrying amount the difference is charged to the income statement. According to the outcome of the impairment tests, performed at year-end 2006, the Group's goodwill has not suffered impairment losses.

Cash flows were projected based on the next years business plan and expected growth in the next 4 years. Cash flows for a future period are extrapolated using a constant growth rate. Management believes that a constant growth rate of 2.5% a year is close to the expected inflation for the period.

The anticipated annual revenue growth rate in cash flows projection was 3.5% - 10.0% for the years 2007-2011.

The discount rate of 12.9%-14.2% was applied in determining the recoverable amount of the unit. The discount rate was estimated based on the companies weighted average cost of capital.

Notes, contd.:

27. contd.:

The aggregated carrying amounts of goodwill is allocated to each segment as follows:

	2006	2005
Retail	3.828	0
Insurance	10.525	6.905
Total	14.353	6.905

Equity

28. Issued capital

The company's capital stock amounted to ISK 2,857 million at year-end 2006 and 2005 according to the company's articles of association. The capital was increased by ISK 2,817 million in the year 2005. The holders of shares are entitled to dividends as declared from time to time and are entitled to one vote per share at meetings of the company. The company bought own shares at a nominal value of ISK 143 million during the year 2005 for ISK 906 million. Share capital according to the balance sheet amounted to ISK 2,714 million at the end of the year, share capital is specified as follows:

	Amounts	Ratio
Total issued shares at the end of the year according to the balance sheet	2.714	95,0%
Own shares	143	5,0%
Share capital according to the Articles of Association	2.857	100,0%

Dividend

The company paid dividend of ISK 300 million to shareholders 2006 (2005: ISK 50 million).

Share premium

Share premium represents excess of payment above nominal value (ISK 1 per share) that shareholders have paid for shares sold by the Company. According to Icelandic Companies Act, 25% of the nominal value of share capital must be held as reserve which can not be paid out as dividend to shareholders.

Notes, contd.:

Trade and other payables

29. Trade and other payables are specified as follows:

	2006	2005
Trade payables	1.989	1.632
Remaining purchase price of investment properties	7.099	0
Other payables	4.501	1.260
Total trade and other payables	13.589	2.892

Technical provision

30. The technical provision is specified as follows:

Technical provision (total):		
Claims reported and loss adjustment expenses	16.781	13.360
Claims incurred but not reported	1.260	2.748
Claims outstanding, total	18.041	16.108
Bonuses and premium provisions	320	451
Provision for unearned premiums	4.352	4.173
Technical provision, total	22.713	20.732
Reinsurers' share:		
Claims reported and loss adjustment expenses	1.247	904
Claims incurred but not reported	120	0
Claims outstanding, total	1.367	904
Provision for unearned premiums	254	331
Reinsurers' share, total	1.621	1.235
Own technical provisions (net)		
Claims reported and loss adjustment expenses	15.534	12.456
Claims incurred but not reported	1.140	2.748
Claims outstanding, total	16.674	15.204
Bonuses and premium provisions	320	451
Provision for unearned premiums	4.098	3.842
Own technical provisions (net), total	21.092	19.497

Notes, contd.:

Borrowings

31. Borrowings are specified as follows:

	Currency	Year of maturity	Interest rate	2006 Carrying amount	2005 Carrying amount
Bank loan	ISK	2007-2029	10,7%	37.018	10.878
Bank loan	EUR	2007-2011	5,1%	25.727	1.321
Bank loan	CHF	2007-2010	3,6%	10.982	7.892
Bank loan	JPY	2007-2010	2,0%	3.660	2.939
Bank loan	USD	2007-2009	7,1%	3.297	2.177
Bank loan	GBP	2007-2009	7,7%	1.327	6
Bank loan	SEK	2007-2010	4,9%	690	560
Borrowings				<u>82.701</u>	<u>25.773</u>

Group's assets amounting to ISK 108 billion are mortgaged to secure derivative contracts and debt with the remaining balance of ISK 73 billion at the end of the year 2006.

32. Repayment of borrowings are specified as follows:

	2006	2005
Repayments in 2006	0	3.327
Repayments in 2007	20.027	5.116
Repayments in 2008	22.451	3.825
Repayments in 2009	1.652	7
Repayments in 2010	17.062	13.402
Repayments in 2011	881	96
Subsequent repayments	<u>20.628</u>	<u>0</u>
Borrowings	<u>82.701</u>	<u>25.773</u>

Deferred income tax liability

33. The deferred income tax liability is specified as follows:

Deferred income tax liability 1.1.	5.533	763
Additions through business combination	282	2.062
Income tax (expenses) recognised in income statement	(3.528)	3.080
Income tax payable	<u>(66)</u>	<u>(372)</u>
Deferred income tax liability 31.12.	<u>2.221</u>	<u>5.533</u>

Notes, contd.:

33. contd.:

The deferred income tax liability is attributable to the following items:

	Assets		Liabilities		Net deferred tax liability	
	2006	2005	2006	2005	2006	2005
Securities	0	0	1.774	4.780	1.774	4.780
Derivatives	0	0	85	657	85	657
Loans, trade receivables	(1)	(31)	12	10	11	(21)
Operating assets	0	0	128	28	128	28
Other items	0	(20)	223	109	223	89
	(1)	(51)	2.222	5.584	2.221	5.533

At 31 December 2006 deferred tax liability amounting to ISK 6,394 million is not recognised for temporary differences of ISK 35,522 million related to an investment in subsidiaries because the Company controls whether the liability will be incurred and it is satisfied that it will not be incurred in the foreseeable future.

When the Group pays dividends to its shareholders, it is required to pay a portion of the dividends to taxation authorities on behalf of shareholders, i.e. withholding tax. The amount paid to taxation authorities is charged to equity as a part of the dividends.

Financial instruments and associated risks

34. The Group maintains positions in a variety of derivative and non-derivative financial instruments in accordance with its investment strategy. The Group's investment portfolio comprises quoted and non-quoted equity and debt investments.

The Group is exposed to various risks inherent in conducting financial services operations, it is necessary to identify, measure, aggregate and manage these risks effectively, and allocate the capital appropriately. The Group's investing activities expose it to various types of risk that are associated with the financial instruments and markets in which it invests. The most important types of financial risk to which the Group is exposed are market risk, credit risk, liquidity risk and underwriting risk.

The frame for asset allocation is determined by the Group's management who sets the outline for the distribution of the assets to achieve the investment objectives. Divergence from target asset allocations and the composition of the portfolio is monitored on intraday bases by the Group's employees.

The nature and extent of the financial instruments outstanding at the reporting date and the risk management policies employed by the Group are discussed below.

Market risk

Market risk embodies the potential for both loss and gains and includes currency risk, interest rate risk and price risk.

Notes, contd.:

34. contd.:

The Group's strategy on the management of market risk is driven by the Group's investment objective. The Group's market risk is managed on a daily basis by the employees in accordance with policies and procedures in place. The Group's overall market positions are monitored on a monthly basis, or in some cases more frequently, by the board of directors.

Details of the Group's investment portfolio at the reporting date are disclosed in the schedule of investments included in note 17.

Currency risk

The Group entities may invest in financial instruments and enter into transactions denominated in currencies other than its functional currency. Consequently, the Group is exposed to risks that the exchange rate of its currency relative to foreign currencies may change in a manner that has an adverse affect on the value of that portion of the Group's assets or liabilities denominated in currencies other than the Icelandic kronas (ISK).

The Group's total net currency balance is monitored on daily basis and traded as any other calculated financial position.

Interest rate risk

The majority of the Group's financial assets are non-interest-bearing. Interest-bearing financial assets reprice in the short-term, no longer than twelve months. As a result, the Group is subject to limited exposure to fair value interest rate risk due to fluctuations in the prevailing levels of market interest rates when it comes to assets. The Group is however exposed to interest risk from interest bearing liabilities and that risk is mitigated by active risk management. Any excess cash and cash equivalents of the Group are invested in short-term commercial paper or reverse repurchase agreements with the term to maturity no longer than one month.

Price risk

Price risk is the risk that value of the instrument will fluctuate as a result of changes in market prices, whether caused by factors specific to an individual investment, its issuer or all factors affecting all instruments traded in the market.

As the majority of the Group's financial assets are carried at fair value with fair value changes recognised in the income statement, all changes in market conditions will directly affect investment income.

Market fluctuations are monitored by the Group's management on intraday basis which enables the Group to react quickly to any changes in the market.

The Group's main equity assets are in Glitnir banki hf. and Actavis Group hf., both of which are listed on OMX Nordic Exchange in Iceland.

The investment portfolios of Sjóvá-Almennar tryggingar hf. and Sjóvá Almennar líftryggingar hf. are also monitored by the Icelandic Financial Supervisory Authority (FSA), but the portfolios of the respective subsidiaries are structured to ensure that capitalisation is adequate and financial strength is maintained at all times.

Credit risk

Credit risk is the risk that a counterparty to a financial instrument will fail to discharge an obligation or commitment that it has entered into with the Group. The Group's management looks to minimize this risk factor by only entering agreements with solid and well known institutions in addition to closely monitoring the credit risk on an ongoing basis.

Transactions involving derivative financial instruments are usually with counterparties with whom the Group has signed master netting agreements. Master netting agreements provide for the net settlement of contracts with the same counterparty in the event of default. The impact of the master netting agreements is to reduce credit risk.

Notes, contd.:

34. contd.:

Regarding loans and trade receivables internal procedures are used to manage the default risk, settlement risk, exposure risk and collateral risk. The subsidiary Sjóvá fjármögnun hf. is defined according to Icelandic law as a financial institution and is regulated by the FSA and reports quarterly to FSA on defaulted customers, exposure concentration and equity limits.

There were no significant concentrations of credit risk to counterparties at 31 December 2006.

Liquidity risk

The risk management of the Group mitigates the liquidity by assuring adequate liquidity through unforeseen changes in funding sources or market disruption. The Group's financial instruments can include investments in unlisted equity investments and derivative contracts traded over-the-counter, which are not traded in an organised public market and which generally may be illiquid. As a result, the Group may not be able to liquidate quickly some of its investments in these instruments at an amount close to its fair value in order to meet its liquidity requirements, or to respond to specific events such as a deterioration in the credit-worthiness of any particular issuer.

To mitigate this risk the Group has a policy of minimum available cash at any given time and in addition to that, the Group's listed financial investments, which represent large part of the total assets, are considered to be readily realisable as they are all listed on stock exchanges.

Underwriting risk

The customer base of the insurance operation is well diversified and the company is not reliant on any individual client or customer. The insurance company in the Group are Sjóvá-Almennar tryggingar hf. and Sjóvá Almennar líftryggingar hf.

In order to limit the underwriting risk of the insurance operation, part of the risk is transferred to reinsurers. The amount of risk that the companies carry for their own account is determined with respect to the financial strength of each of the insurance company and the nature of the risk.

Financial instruments and fair values

35. The fair values of financial assets and liabilities is not significantly different than the carrying amounts shown in the balance sheet.

Financial Guarantees

36. According to the shareholders agreement of foundation of the investment bank Askar Capital hf., the parent company have obligation to pay with cash ISK 7 billion for share in the company in the year 2007.

The subsidiary Sjóvá-Almennar tryggingar hf. has concluded a risk swap contract with Glitnir banki hf. on a relative participation in a foreign investment. The contract comprises the company's investments up to € 6 million. Obligations amounting to of € 5 million have been signed at the end of the period.

Notes, contd.:

Related parties

37. The Group has a related party relationship with its shareholders, subsidiaries, associates, board of directors of the parent company and managing director. Company's owned by board shareholders are also considered related parties.

During the year 2006 the Group made transactions with related parties. These transactions were priced on an arm's length basis. Net outstanding loans and receivables at year end amounted to ISK 1,925 million (2005: 1,035 million). Interest expenses to related parties in the income statements amounts to ISK 184 million (2005: none).

Group entities

38. Main Group entities are specified as follows:

Company:	Country	Currency	Ownership interest	
			2006	2005
Amarel ehf.	Iceland	ISK	100,0%	-
DOC Milwaukee LP	USA	USD	100,0%	-
L&H eignarhaldsfélag ehf.	Iceland	ISK	100,0%	-
Lyf og heilsa hf.	Iceland	ISK	100,0%	-
SJ1 ehf.	Iceland	ISK	100,0%	66,7%
SJ-Fasteignir	Iceland	ISK	100,0%	-
Sjóvá-Almennar tryggingar hf.	Iceland	ISK	100,0%	66,7%
Sjóvá-Almennar líftryggingar hf.	Iceland	ISK	100,0%	66,7%
Sjóvá fjármögnun hf.	Iceland	ISK	100,0%	66,7%
SJ Properties Chocolate N.V.	Belgium	EUR	100,0%	-
SJ Properties Mjódd BuyCo ehf.	Iceland	ISK	100,0%	-
SJ Properties Sarl BuyCo & KG GmbH	Germany	EUR	94,8%	-
Þáttur eignarhaldsfélag ehf.	Iceland	ISK	100,0%	100,0%

In addition there are 22 companies in Group that are included in the consolidated financial statements. Total number of Group companies are therefor 35 at year-end 2006.

Explanation of transition to IFRSs

39. As stated in the notes these are the Group's first consolidated financial statements prepared in accordance with IFRSs.

The accounting policies set in notes have been applied in the preparation of the financial statements for the year ended 31 December 2006, the comparative information presented in these financial statements for the year ended 31 December 2005 and the preparation of an opening IFRS balance sheet at 1 January 2005, the Group's date of transaction. In preparing its opening IFRS balance sheet, the Group has adjusted amounts reported previously in financial statements prepared in accordance with its old basis of accounting rules (previous IS-GAAP). The following tables and notes shows the changes in shareholders' equity on January 1, 2006.

Notes, contd.:

39. contd.:

Explanation of changes in equity:

Shareholders' equity according to previous accounting methods 31 December 2005	23.626
Shareholders' equity according to IFRS 1 January 2006	23.588
Changes from the previous accounting methods	(38)

Change in valuation:

	1.1.2005	1.1.2006
Change in evaluation of intangible assets IFRS 3	0	(104)
Change in evaluation of borrowing IAS 39	13	66
Changes from previous accounting methods	13	(38)

Changes in equity are stated after the deduction of income tax.

As part of its transition to IFRSs, the Group restated business combinations that occurred on or after 1 January 2005. In previous years goodwill had not been amortised in accordance with IFRS but the division of premium on cash-generating units had not been performed. The Group's goodwill at the end of the year 2005 was decreased by ISK 4,210 million and trademarks (ISK 1,706 million) and customers relationships (ISK 2,504 million) entered among intangible assets. Different from goodwill and trademarks, customers relationships are amortized and therefore shareholders' equity is decreased by ISK 104 million in the beginning of the year 2006.

In accordance with IFRS the Group will recognize expenses from borrowing fee over the term of the borrowing, instead of recognize the expenses at the issue of the borrowing. As a result, the Group's equity increases by ISK 13 million January 2005 and 66 million January 2006.

Changes in presentation:

Milestone ehf. is an investment company, focusing on strategic and private equity investments as well as proprietary trading. The presentation of the financial statements and comparative amounts have been altered to investment operation.

The Group sold shares in the subsidiary Securitas hf. in January 2006. In accordance with IFRS Securitas's assets and liabilities at year-end 2006 are classified as held for sale and presented in special line in the balance sheet. Therefore total assets and liabilities in the beginning of the year 2006 increase by ISK 637 million.

Derivatives are now presented in special line in the balance sheet on net fair value. Total assets and liabilities increases therefor by ISK 15 million.

In addition, minority interest in the Group's equity, is now presented as separate item in equity.

Notes, contd.:

39. contd.:

Balance sheet 1.1. 2006:

The restatement in accordance with IFRS had the following effects on the balance sheet:

	IS-GAAP 31.12.2005	Changes in valuation	Changes in presentation	IFRS 31.12.2005
Total assets	83.821	(104)	652	84.369
Total equity	25.871	(38)		25.833
Total liabilities	57.950	(66)	652	58.536
Total equity and liabilities	83.821	(104)	652	84.369

The change in valuation on specific balance sheet item are specified as follows:

	IS-GAAP 31.12.2005	Changes in valuation	IFRS 31.12.2005
Intangible assets	11.115	(104)	11.011
Retained earnings	14.898	(38)	14.860
Borrowings	25.854	(81)	25.773
Deferred tax income liability	5.518	15	5.533

Income statement for the year 2005:

	IS-GAAP 31.12.2005	Changes in valuation	IFRS 31.12.2005
Investments income:			
Net income from securities, associates and derivatives	17.196	0	17.196
Interest income	1.120	0	1.120
Interest expenses	(1.050)	66	(984)
Net foreign exchange gain	1.540		1.540
	18.806	66	18.872
Operating income:			
Insurance premium	4.176	0	4.176
Other revenue	9	0	9
	4.185	0	4.185
Operating expenses:			
Insurance claims	(3.536)	0	(3.536)
Other operating expenses	(1.598)	(104)	(1.702)
	(5.134)	(104)	(5.238)
Profit before income tax	17.857	(38)	17.819
Tax expense	(3.068)	(12)	(3.080)
Profit for the year	14.789	(50)	14.739

Notes, contd.:

39. contd.:

	IS-GAAP 31.12.2005	Changes in valuation	IFRS
Attributable to:			
Equity holders of the parent	13.998	(50)	13.948
Minority interest	791	0	791
Profit for the year	<u>14.789</u>	<u>(50)</u>	<u>14.739</u>

Changes in the income statement result from the borrowings fee and amortisation of customers relationships.

Financial Ratios

40. The Group's principal financial ratios:

	2006	2005
Return on equity	91,5%	207,4%
Equity ratio	25,7%	30,6%
Internal value of shares	16,06	8,69